



Business Ethics and Corporate Social Responsibility

CHAPTER TWO

ETHICS OF BUSINESS: MANAGEMENT AND LEADERSHIP

Ethics and Business Ethics Summarized

- Ethics and ethical used synonymously with morals and morality.
- Ethics derived from Greek word **ethos** and morality from Latin word **mores** – both connote habits or custom
- Ethics is the branch of philosophy that is concerned with what is morally good and bad and right and wrong.
- Morality is doing what is right no matter what you are told.

General Concepts of Ethics

Two types of Ethics

- ❖ **Meta-ethics**- analyzing the meaning and nature of the moral element in man's action, thought and language
- ❖ **Normative Ethics**- what should be done, prescribing criteria for differentiating between what is right and what is wrong

□ **Types of Normative Ethics**

- Virtue Ethics
- Deontology
- Consequentialism or teleology

Virtue Ethics

- Goodness or righteousness is an attribute of individual
- Ethical laws cannot be violated. Violation makes one a sinner
- Compliance with ethics dictated by conscience.
- ✓ Conscience is a **personal sense** of moral goodness or blameworthiness in one's conduct, intention or character with regard to a feeling of obligation to do right or be good.

Limitations of Virtue Ethics

- Applicable to natural person. Are they applicable to artificial or legal persons?
- ✓ Does not define what is right or wrong
- ✓ Emphasis on personal attribute not on consequences.

Deontological Ethics

- ❖ Derived from Greek word deon which implies obligation
- Ethics is based on rules prescribed as duty or obligation (telling the truth to a murderer irrespective of consequences)

Limitations of Deontological Ethics

- Evil is Evil – no concession for evil that results in good. Killing one person for saving five lives.
- No trade-off. No mechanism for compromise. More Idealistic less practical.

Consequentialism or Teleological Ethics

- ❖ States that the ends justify the means
- ✓ It is possible to choose from several options on the basis of outcome.
- ✓ The best course of action is the one that produces the greatest happiness to maximum number of people
- ✓ Consequences could be used as yardstick for rightness

Limitations of Consequentialism

- It creates a divide between intention and action.
- It is difficult to disentangle cause and effect.

THEORIES OF ETHICAL CONDUCT

- Theories of ethics present standards by which a person can analyze and evaluate his or her own moral conduct.
- Over the centuries, two different philosophical frameworks developed:
 - ❖ Ethical standards based on universal duties (Deontology) and
 - ❖ Ethical standards based on consequences (Utilitarianism).

Deontology

- ❑ **Deontology** is the philosophical practice of defining and adhering to an absolute set of standards by which ethical behavior can be measured.
- It tries to define universal duties that serve as moral guides to decision making. When a moral dilemma arises, a person can apply these universal standards to determine a course of action that is good.

Deontology

- In deontology, a person fulfills absolute moral duties regardless of whether good comes from the actions.
- A person decides upon actions by asking if a particular action is morally right or wrong.
- The act of carrying out that duty is important rather than the consequences of the act. An example of a set of deontological rules would be the Ten Commandments.

Deontology

The Rights Model:

- The rights model analyzes ethical issues by focusing on an action's impact on human rights.
- Human rights are the rights all people have
- An action that maximizes respect for human rights and minimizes their violation is morally correct.

Utilitarianism

- **Utilitarianism** is an approach to establishing ethical standards based on the consequences of an action.
- In an ethical dilemma, a person selects the action that brings about the greatest amount of good for the greatest number of people.
- The model determines correctness in terms of social benefit. Many business people favor the “cost/benefit” approach of utilitarianism.

The Rights Model

- Two basic categories of human rights exist within the model:

(1) rights of liberty, and (2) rights of well-being

Privacy
Free consent
Free speech
Rights to life

Employment
Food
Housing
Education

Applying the Rights Model

- Identify the facts.
- Identify the ethical issues.
- Identify the alternative courses of action.
- Identify the stakeholders.
- Determine to which extent each alternative respects the dignity and fundamental rights of stakeholders or violates their rights.
- Choose the alternative that maximizes the dignity of stakeholders and minimizes the violation of their rights.

Applying the Rights Model: Aims

- to explain how stakeholding offers a basis for considering rights in business contexts
- to highlight the need for businesses to consider the rights of affected stakeholders as well as those of influential stakeholders

Cont...

- ❖ A stakeholder is any group or individual who can affect or is affected by [a business] organizations' objectives'.

Two types of stakeholder

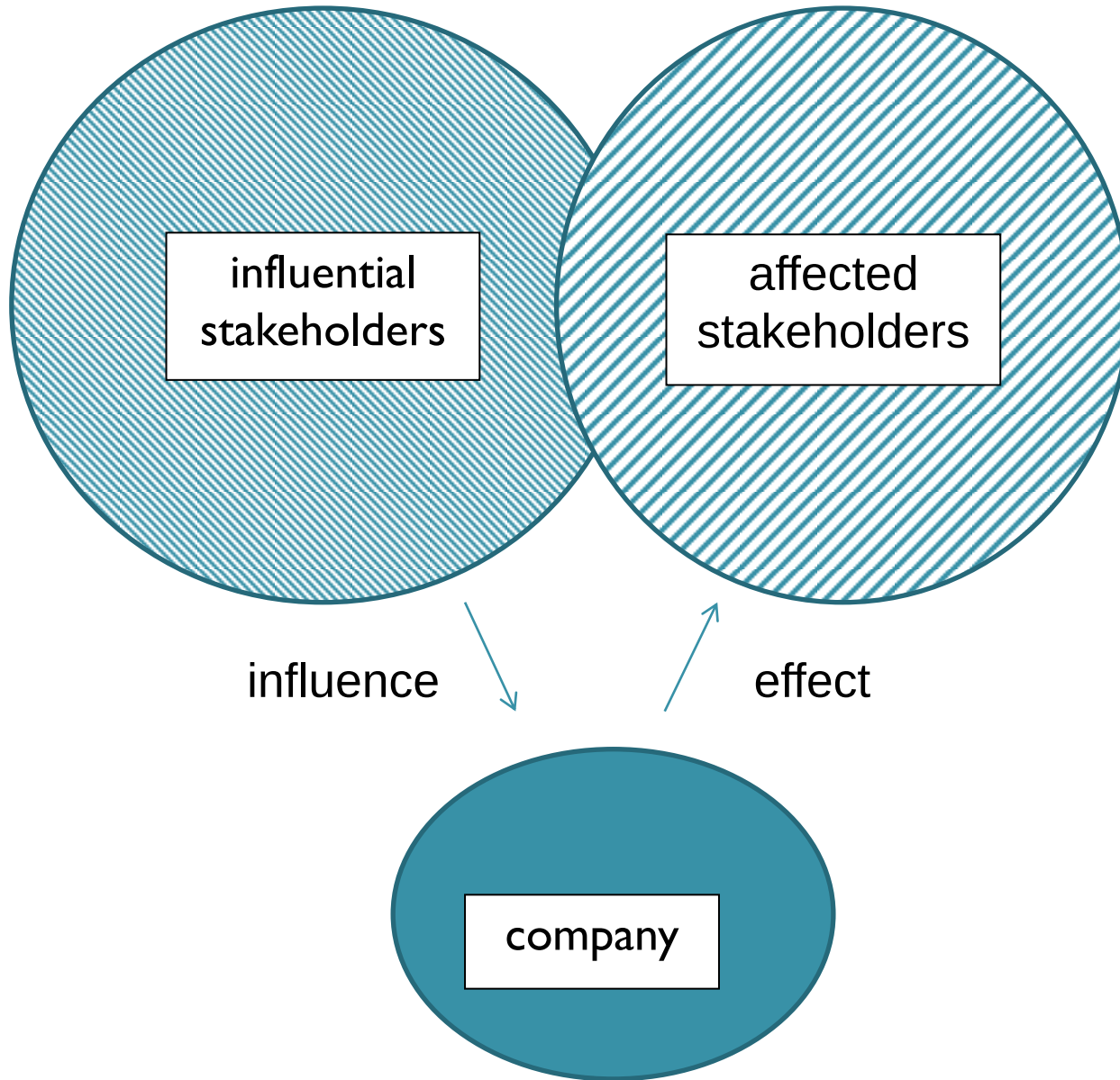
- ❑ **Influential stakeholders:** groups or individuals who can influence a company's achievement of its objectives
- ❑ **Affected stakeholders:** groups or individuals who are affected by a company's activities

Identifying influential stakeholders

- What groups or individuals can influence a company's achievement of its objectives?

Identifying affected stakeholders

- What groups or individuals may be affected by a company's activities?



Influential stakeholders: reciprocity rights

- ❖ Reciprocity: ‘the practice of exchanging things with others for mutual benefit’.
- Stakeholders influence the success of a company by supporting it
- ✓ Therefore they have, in exchange, a right to expect that their interests will be taken into account by that company.

Affected stakeholders: effect entails a right to consideration

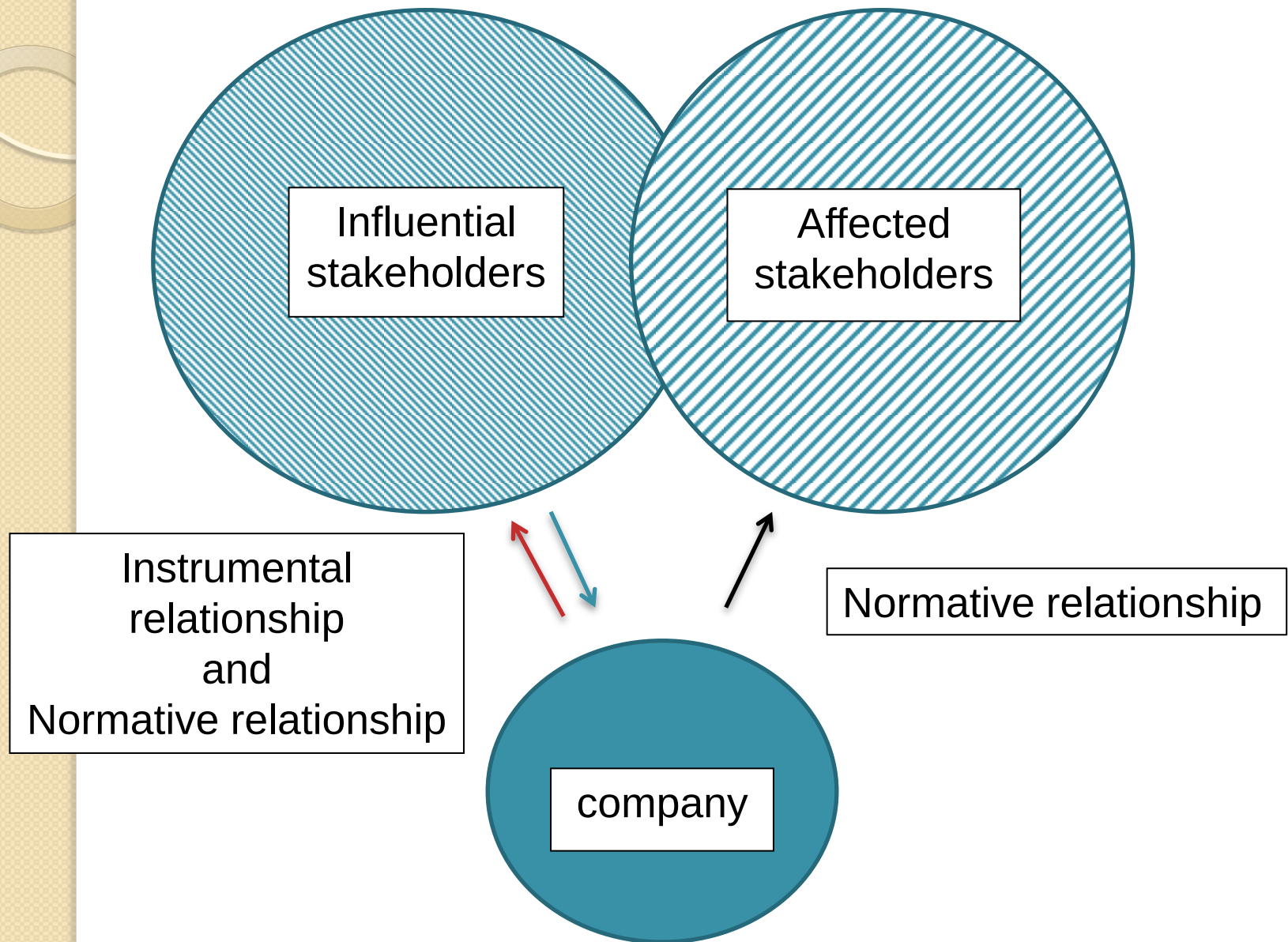
- ❖ If the actions of the business have an effect on other people, those people have a right to be taken into account by the business.
- Similarly, if a company's activity has an effect on stakeholders, those stakeholders have a right to be taken into account by that company.

Normative relationships

- ❑ 'Normative' denotes some form of ethical content
- Stakeholders have a normative relationship with a company if the company has ethical reasons to take them into account
- ❖ **Influential stakeholders** have a normative relationship because of their reciprocity rights
- ❖ **Affected stakeholders** have a normative relationship because effect entails a right to consideration

Instrumental relationships

- ❑ **‘Instrumental’** denotes helping something to achieve its objectives.
- ❖ Stakeholders have an instrumental relationship with a company if they **help it to achieve its objectives**.
- **Influential stakeholders** have an instrumental relationship with a company because their support helps it to achieve its objectives.
- **Affected stakeholders** do not have an instrumental relationship with a company because they have no influence on its achievement of its objectives.



Is good ethics good for business?

- ❖ A company has normative reasons and instrumental reasons to look after its **influential stakeholders**
- Therefore, in its relationships with influential stakeholders, good ethics is good for business
- ❖ A company has normative reasons to look after its **affected stakeholders**, but no instrumental reasons to do so
- Therefore, in its relationships with affected stakeholders, good ethics is not necessarily good for business

Applying Utilitarianism

- Identify the facts.
- Identify the ethical issues.
- Identify the alternative courses of action.
- Identify the stakeholders.
- For each alternative, calculate the costs and benefits (identify who would be harmed and who would benefit).
- Choose that alternative which results in the greatest amount of good for the greatest number of stakeholders.

Case example 1:

A secretary who has worked for your corporation for fifteen years is involved in a car accident in which she permanently loses the use of her right hand. Thus, she can no longer effectively type, file, or perform many of the other functions that she previously had performed and that are included in her job description.

Your corporation has a very tight budget and does not have sufficient funds to pay for an additional secretary without reallocating budget items. The injured secretary has been very loyal to your corporation, and you have been very satisfied with her work and dedication. She wants to stay at her job.

Case example 1: Cont'd

Moreover, she does not believe that she could find other employment at this time.

❖ Should your corporation fire her, lay her off with compensation, or find a way to retain her?

In resolving this dilemma, apply:

- Utilitarianism
- The Rights Model
- Your own personal opinion

NORMATIVE THEORIES OF BUSINESS ETHICS: CLASSIFICATION

Normative Theories

**Stockholder
Theory**

Stakeholder Theory

**Social Contract
Theory**

Stockholder Theory

- ❖ Expresses business relationship between stock owners and their managers running the day-to-day business of the company.
- ✓ As per the theory, managers should pursue profit only by all legal, non-deceptive means.

Stakeholder Theory

- ❖ This theory argues that a corporate's success in the marketplace can best be assured by catering to the interests of all its stakeholders (**shareholders**, **customers**, **employees**, **suppliers**, **management** and the **local community**).
- This objective is achieved when corporations adopt policies that ensure an **optimal balance** among all stakeholders.

Social Contract Theory

- ❖ This is based on the principles of “social contract”, wherein it is assumed that there is an implicit agreement between the society and any created entity such as a business unit, in which the society recognizes the existence of a condition that it will serve the interest of the society in certain specified ways.

Personal Values as Ethical Anchors

- ❖ **Definition:** **Values** are abstract ideals that shape an individual's thinking and behaviour.
- ❖ Values can be also defined as “an enduring belief that a specific mode of conduct or end-state of existence is personally or socially preferable to an opposite or converse mode of conduct or end-state of existence.”
- ❖ Schwartz et al., (2001) view values as desirable, transitional goals, varying in importance, which serve as guiding principles in people's lives.
- Personal values play a pivotal role in managerial decision making and ethics.

Instrumental and Terminal Values

- ❖ An **instrumental value** is an enduring belief that a certain way of behaving is appropriate in all situations (e.g. honesty).
- ❖ A **terminal value** is an enduring belief that a certain end-state of existence is worth striving for and attaining (e.g. freedom).
- ✓ Individual value systems are like fingerprints, hence each one of us has a unique set.
- ✓ This is because a person can hold a number of different instrumental and terminal values. Thus, it is important that each person identifies his own values and rank them accordingly.

Personal Values as Ethical Anchors

❖ Values

➤ Abstract ideals that shape one's thinking and behavior

- **Instrumental value**: Enduring belief that a certain way (mode) of behaving is appropriate in all situations
- **Terminal value**: Enduring belief that a certain end-state of existence (being admired) is worth striving for

❖ Identifying Your Own Values

- Basic personal values are taken for granted.
- They are not arranged consciously in order of priority.

Managerial Ranking of Values

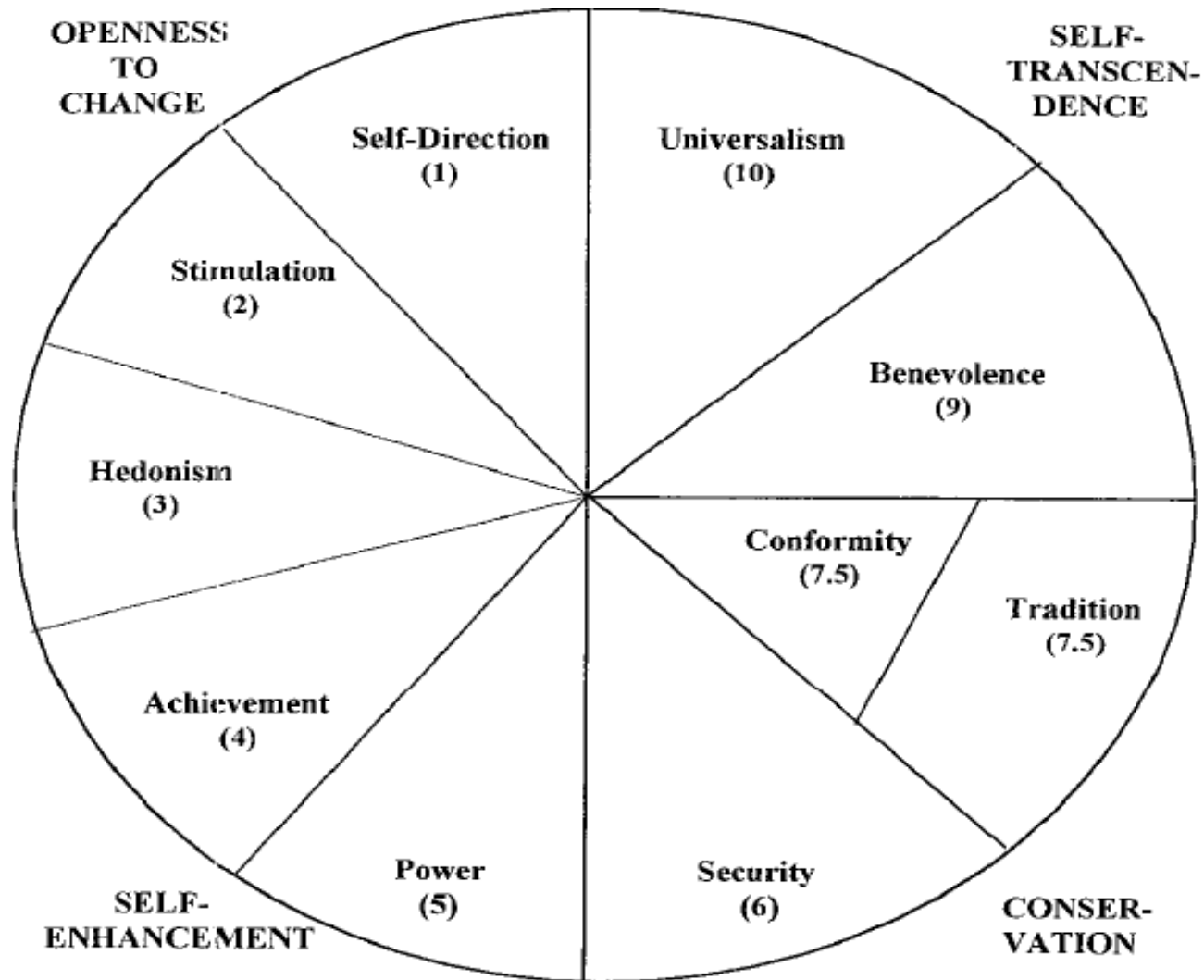
❖ Terminal Values

- Self-respect
- Family security
- Freedom
- A sense of accomplishment
- Happiness

❖ Instrumental Values

- Honesty
- Responsibility
- Capability
- Ambition
- Independence

Schwartz's value theory



Schwartz's value theory

Table I

Definitions of Motivational Types of Values in Terms of their Goals and the Single Values that Represent Them

- Power:** Social status and prestige, control or dominance over people and resources (social power security, authority, wealth, preserving my public image)
- Achievement:** Personal success through demonstrating competence according to social standards (successful, capable, ambitious, influential)
- Hedonism:** Pleasure and sensuous gratification for oneself (pleasure, enjoying life)
- Stimulation:** Excitement, novelty, and challenge in life (thrilling, a varied life, an exciting life)
- Self-direction:** Independent thought and action choosing, creating, exploring (creativity, freedom, independent, curious, choosing own goals)
- Universalism:** Understanding, appreciation, tolerance, and protection for the welfare of all people and for nature (broad-minded, wisdom, social justice, equality, a world at peace, a world of beauty, unity with nature, protecting the environment)
- Benevolence:** Preservation and enhancement of the welfare of people with whom one is in frequent personal contact (helpful, honest, forgiving, loyal, responsible)
- Tradition:** Respect, commitment, and acceptance of the customs and ideas that traditional culture or religion provide the self (humble, accepting my portion in life, devout, respect for tradition, moderate)
- Conformity:** Restraint of actions, inclinations, and impulses likely to upset or harm others and violate social expectations or norms (politeness, obedient, self-discipline, honoring parents and elders)
- Security:** Safety, harmony, and stability of society, or relationships, and of self (family security, national security, social order, clean, reciprocation of favors)

General Ethical Principles

- ❑ Like your highly personalized value system, your ethical beliefs have been shaped by many factors, including:
 - (1) family and friends, (2) the media, (3) culture, (4) schooling, (5) religious instructions, and (6) general life experiences.
- Ten ethical principles (generally unstated taken-for-granted ethical beliefs) are
 - Self-interests,
 - Personal virtues,
 - Religious injunctions,
 - Government requirements –
 - Utilitarian benefits,
 - Universal rules,
 - Individual rights,
 - Economic efficiency,
 - Distributive justice and contributive liberty.

General Ethical Principles Cont..

1. Self-interests. “Never take any action that is not in the *long-term* self-interests of yourself and/or of the organization to which you belong.”

2. Personal virtues. “Never take any action that is not honest, open, and truthful and that you would not be proud to see reported *truthfully* in national newspapers and on television.”

3. Religious injunctions. “Never take any action that is not kind and that does not build a sense of community, a sense of all of us working together for a commonly accepted goal.”

4. Government requirements. “Never take any action that violates the law, for the law represents the minimal moral standards of our society.”

5. Utilitarian benefits. “Never take any action that does not result in greater good than harm for the society of which you are a part.”

General Ethical Principles Cont..

6. Universal rules. “Never take any action that you would not be willing to see others, faced with the same or a closely similar situation, also be free to take.”

7. Individual rights. “Never take any action that abridges the agreed-upon and accepted rights of others’.”

8. Economic efficiency. “Always act to maximize profits subject to legal and market constraints, for maximum profits are the sign of the most efficient Production.”

9. Distributive justice. “Never take any action in which the least [fortunate people] among us are harmed in someway.”

10. Contributive liberty. “Never take any action that will interfere with the right of all of us [to] self development and self-fulfillment”

Encouraging Ethical Conduct

❑ Four specific ways to encourage ethical conduct within the organization are:

1. Ethics training
2. Ethical advocates
3. Ethics codes
4. Whistle-Blowing

Ethics training

- ❖ Managers lacking ethical awareness are called amoral: neither moral nor immoral, but indifferent to the ethical implications of their actions.
- Since managers in this category far outnumber moral or immoral managers, there is a great need for ethics training.

Ethical advocates

- An ethical advocate is a business ethics specialist who sits as a full-fledged member of the board of directors and acts as the board's social conscience.
- ✓ This person may also be asked to sit in on top-management decision deliberations.
- ✓ The idea is to assign someone the specific role of critical questioner (Refer to the Table has some recommended questions).

Twelve Questions for Examining the Ethics of a Business Decision

Table 5.2 Twelve Questions for Examining the Ethics of a Business Decision

1. Have you defined the problem accurately?
2. How would you define the problem if you stood on the other side of the fence?
3. How did this situation occur in the first place?
4. To whom and to what do you give your loyalty as a person and as a member of the corporation?
5. What is your intention in making this decision?
6. How does this intention compare with the probable results?
7. Whom could your decision or action injure?
8. Can you discuss the problem with the affected parties before you make your decision?
9. Are you confident that your position will be as valid over a long period of time as it seems now?
10. Could you disclose without qualm your decision or action to your boss, your CEO, the board of directors, your family, society as a whole?
11. What is the symbolic potential of your action if understood? If misunderstood?
12. Under what conditions would you allow exceptions to your stand?

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Ethics codes

- An organizational code of ethics is a published statement of moral expectations for employee conduct.
- Some codes specify penalties for offenders.
- To encourage ethical conduct, formal codes of ethics for organization members must satisfy two requirements.
- First, they should refer to specific practices such as kickbacks, payoffs, receiving gifts, record falsification, and misleading claims about products.
- Second, they must be firmly supported by top management and equitably enforced through the reward-and-punishment system.

Whistle-blowing

- ❖ Whistle-blowing is the practice of reporting perceived unethical practices to outsiders such as the news media, government agencies, or public-interest groups.
- ✓ Not surprisingly, many managers believe that whistle-blowing erodes their authority and decision-making prerogatives. Because loyalty to the organization is still a cherished value in some quarters, whistle-blowing is criticized as the epitome of disloyalty.
- ✓ Whistle-blowing generally means putting one's job and/or career on the line. Constructive steps include: encourage the free expression of controversial and dissenting views; streamline the organization's grievance procedure so that problems receive a prompt and fair hearing; find out what employees think about the organization's social responsibility policies and make appropriate changes; let employees know that management respects and is sensitive to their individual consciences; and, recognize that the harsh treatment of a whistleblower will probably lead to adverse public opinion.

Toward Improving Ethical Behaviour

- Selection
- Codes of Ethics and Decisions Rules
- Top Management's Leadership
- Job Goals
- Ethics Training
- Comprehensive Performance Appraisal
- Independent Social Audits
- Formal Protective Mechanisms